



Coyote Business Consulting



Tourism in Custer County: Economic Patterns and Regional Context

Custer Area Economic Development Foundation

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Executive Summary

This report summarizes the completed work by Coyote Business Consulting for the Custer Area Economic Development Foundation regarding the tourism-based economic impact in Custer County, South Dakota. The purpose of this project was to assess the role of tourism in the county economy, identify patterns in tourism-related business activity and taxable sales, and develop practical recommendations that can support future planning and decision-making.

Our analysis indicates that tourism plays an outsized role in the local economy. Based on the materials reviewed for this project, tourism-related activity supported 24.3% of all employment in the county in 2022 including at least 751 direct jobs and 1,160 total supported jobs. Tourism also generated around \$21.2 million in direct labor income, \$38.8 million in total labor income, and an estimated \$9.2 million in state and local tax revenue.

Our project also shows that tourism activity is highly seasonal and strongly connected to taxable sales. Retail and services make up 85% of Custer City's taxable sales, and those sectors move very closely with broader tourism-tax trends. In addition, Custer City generates 87.7% of the county's total taxable sales, indicating that a large share of tourism-related spending is concentrated in the county seat.

Another important finding is the importance of Custer State Park to the local tourism economy.

The park is associated with an estimated \$83.7 million in direct economic contribution and accounts for a non-trivial share of South Dakota's overall tourist visits and camping activity.

Lodging capacity, park visitation, and tourism-related sales patterns all point to the park being an important tourism asset.

Based on these findings, we recommend that the client use the county's seasonal tourism patterns more intentionally in future planning and communication. We also recommend that they continue to use peer-county comparisons and major tourism-asset indicators, such as those related to Custer State Park, to provide context for future discussions of county economic conditions.

Introduction

Custer Area Economic Development Foundation partnered with Coyote Business Consulting to better understand the importance of tourism within the Custer County economy. The purpose of this project was to evaluate the role played by tourism in the county economy, examine patterns in countywide taxable sales and public-finance indicators, and develop recommendations based on the evidence collected. Tourism is central to the identity and economic life of the Black Hills region, and understanding its local effects is essential for informed business and community planning.

This project focused on combining and interpreting many sources of economic information related to tourism in Custer County. These included tourism employment and labor-income measures, taxable sales trends, lodging-related information, selected comparisons with nearby counties, and indicators related to Custer State Park. Together, these sources helped build a clearer picture of the role tourism plays in supporting local economic activity.

This report presents the scope of the project, the methods used to inform our analysis, the major findings that emerged from the data, and our recommendations for how Custer Area Economic Development Foundation can use these results moving forward.

Project Scope and Methodology

The scope of this project was to evaluate the tourism-based economic significance of Custer County and identify practical insights that could help the client better understand patterns in

visitor-related economic activity. Rather than focusing on a single metric, our team approached the project by combining several sources of information to develop a broader and more useful view of how tourism impacts the county.

Our methodology consisted of collecting, organizing, and comparing several categories of data. These included tourism-related employment and labor-income estimates, state and local tax revenue associated with tourism, taxable sales data, lodging capacity information, selected park-related indicators, and a limited benchmark comparison with Lawrence County. We used these sources to identify major themes such as tourism dependence, seasonal concentration, geographic concentration of commercial activity, and regional context.

In addition to looking at countywide trends, we also reviewed information specific to Custer City and Custer State Park. This helped distinguish between county-level tourism patterns and the specific locations where the effects of tourism appear to be the most concentrated. Because the project relied on data from diverse sources, part of our work entailed reconciling information into a format that could be interpreted clearly and communicated effectively to the client.

The purpose of this methodology was not to produce an overly technical academic exercise, but rather to generate findings that are understandable, defensible, and useful for future planning. To this end, this report emphasizes clear interpretation and practical takeaways.

Findings and Analysis

Tourism's Economic Footprint in Custer County

We show in our analysis that tourism is an important component in Custer County's local economy. According to the tourism-impact measures we reviewed, tourism-related activities generated 24.3% of employment in the county in 2022, including 751 direct jobs and 1,160 total

supported jobs. Tourism generated approximately \$21.2 million in direct labor income and \$38.8 million in total labor income, along with \$9.2 million in state and local tax receipts.

This dependence also appears to be stronger in Custer County than in larger counties in the state. In 2022, tourism supported 24.3% of Custer County employment compared with 13.5% in Pennington County and 9.6% in Minnehaha County.

Role of Custer State Park & Lodging Capacity

The critical role played by Custer State Park was among our clearest findings. Preliminary estimates reviewed during this project suggest an economic contribution of around \$83.7 million from the park. The park also accounts for 29% of visitation and 14% of camping site visits from South Dakota tourists.

Lodging capacity further supports the view of the park's importance. Our project materials show 623 available hotel rooms in Custer County, with between 228 and 261 rooms located in Custer State Park depending on the source. Rather than forcing a false level of accuracy, it is more appropriate to treat the room count as approximate while still recognizing that it represents a substantial share of the county's lodging inventory.

Additional indicators reinforce the park's importance. Mickelson Trail sold 7,907 passes in 2024, generating approximately \$119,000 in revenue, while one park-related figure cited by the state Division of Parks and Recreation says tax revenue from in-park sales is nearly \$23.3 million, presumably reflecting spending at concession stands in the park. Taken together, these figures suggest that major tourism assets in and around the county generate measurable visitor spending and help sustain related business activity.

Taxable Sales and Seasonality

Another major pattern that emerged from the project is the seasonality of tourism-related economic activity. The tourism tax and taxable sales figures we reviewed showed a strong seasonal cycle, with much higher activity during the summer and early fall months than during the winter. The visual materials prepared for the client make this pattern especially clear, as tourism tax collections rise sharply in the middle of the year before falling off later into the calendar year.

This seasonal pattern also looks like it lines up with local business activity. Retail and services made up almost 85% of Custer City's taxable sales, and those sectors move closely with tourism-tax trends. Hotel and motel activity is also noteworthy. One figure we collected showed \$16,939,199.92 in total sales subject to sales tax from hotels and motels in Custer City in 2025. These patterns strongly suggest that visitor activity is a major determinant of local commercial performance.

Custer City as the County's Commercial Hub

The project also indicates that economic activity tied to tourism is geographically concentrated within the county. Preliminary findings suggest that Custer City generates 87.7% of the county's total taxable sales. This concentration matters because it suggests that Custer City functions as the county's primary commercial center for tourist spending.

Given that the lion's share of taxable sales is flowing through the city, then trends in city-level retail, service, lodging, and related sectors can provide a view into broader region-wide trends. The patterns observed in Custer City have significance beyond the city itself, given that it is among the largest communities in its region, trends starting in the city ripple out.

This concentration suggests that any shift in visitor activity will likely have an outsized effect on the county's main sales tax base.

Lawrence County Benchmark Comparison

To provide regional context, our team also reviewed selected comparisons between Custer County and Lawrence County. This benchmark was intended to help determine whether some of Custer County's business characteristics appear unusual or whether they are more typical of nearby counties with meaningful visitor-related activity.

The comparison shows that Lawrence County has larger average establishments and slightly higher wages per employee than Custer County has. In 2023, average establishment size was 21.05 employees in Lawrence County compared with 10.91 employees in Custer County. Average wages per employee were \$28,415 in Lawrence County compared with \$25,659 in Custer County. Unsurprisingly, given that Lawrence County businesses are larger and pay more on average than Custer County businesses, overall wages paid by establishment are much higher in Lawrence County, at \$598,184 compared to Custer County's \$279,873.

These differences suggest that while both counties may benefit from tourism-related activity, the structure of that activity is not identical. Custer County relies more heavily on a smaller-establishment business base, even though tourism remains a very large share of overall economic activity. This comparison is useful because it shows high tourism prevalence does not necessarily imply the same business structure across counties.

Recommendations

Based on the evidence reviewed in this project, we recommend that the client use the county's seasonal tourism patterns for future planning and communication. These findings suggest that

tourism-related economic activity is highly concentrated in peak months, which has implications for budgeting, promotion, infrastructure planning, and broader community decision-making.

We also recommend continuing to use peer-county comparisons and major tourism-asset indicators to provide useful context for future discussions of county economic conditions. The Lawrence County comparison was useful because it helped place Custer County's economic structure in a regional perspective, while the Custer State Park indicators helped illustrate the importance of one of the county's major tourist assets.

Conclusion

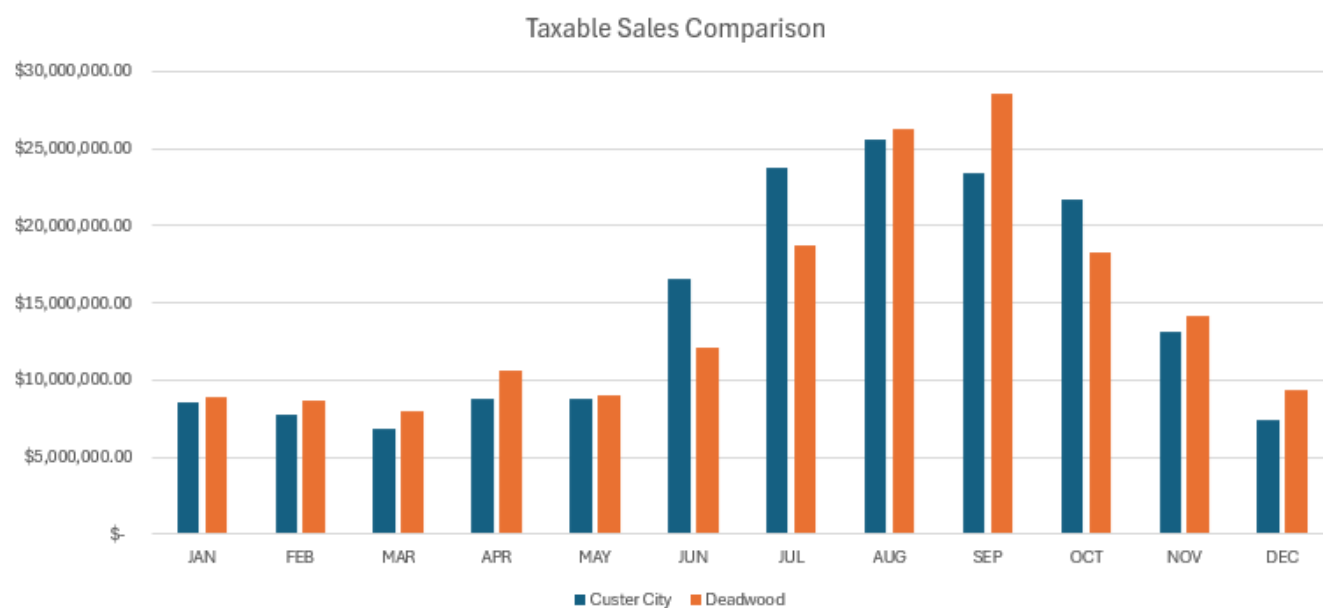
This project met its central objective by identifying major patterns in Custer County's tourism-based economic activity and translating those patterns into practical findings for the client. The analysis shows that tourism plays a major role in county employment, labor income, taxable sales, and tax receipts, while also showing that tourism activity is highly seasonal and geographically concentrated. The project also provided useful regional context through comparison with Lawrence County and highlighted the importance of major tourist assets such as Custer State Park. Taken together, these findings give the Custer Area Economic Development Foundation a strong basis for future planning, communication, and discussion of local economic conditions.

Appendix

Appendix Figure A1. Monthly Tourism Tax Activity in Custer County



Appendix Figure A2. Monthly Taxable Sales Comparison: Custer City & Deadwood



Appendix Figure A3. Retail Trade Taxable Sales in Custer



Appendix Figure A4. Services Taxable Sales in Custer

